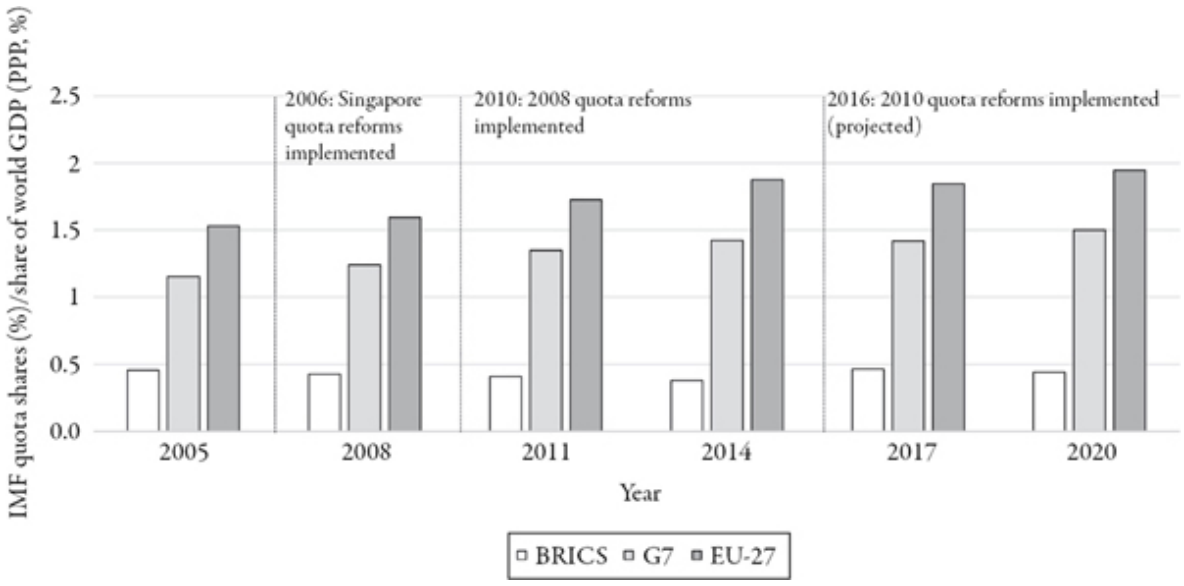


FIGURE 3.2 Ratio of IMF Quota Shares (%) to Share of World GDP (PPP, %): BRICS, G7, and EU, 2005–2020

Source: IMF World Economic Outlook, April 2016 update; C. Roberts calculations.

Figure 3.3 shows the actual BRICS, G7, and EU quota shares relative to the 60:40 GDP blend of market rates and PPP used in the current IMF formula. The shares are charted chronologically through three quota reforms implemented by the IMF from 2006, through the 2008 reforms (implemented on March 3, 2011), to the most recent package meant to implement the 14th General Review of Quotas, which was endorsed by the G20 in Seoul in November 2010, belatedly approved by the U.S. Congress in December 2015, and implemented by the IMF on January 26, 2016. As Figure 3.3 reveals, the BRICS' combined economic size, of which China's GDP (PPP) was 55.8 percent of the whole (67.8 percent at market exchange rates), has rocketed up in recent years, while adjustments in BRICS quota shares have moved from only 10 to 15 percent of the total. By comparison, the EU percentage of the total shares has dropped by only about 3 percent of the total. The fact that the advanced industrial powers as a group are overrepresented is an issue that long has rankled developing countries.[11]